

D104

Intermediate Accounting II

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A bottling company buys a filling machine for \$100,000. It pays \$3,000 freight, \$5,000 installation and \$2,000 for test runs, then \$4,000 to train operators after the machine is running. The seller offered a two-year warranty extension for \$2,500, which the company declined. What cost should be capitalized?

- A. \$110,000
- B. \$100,000
- C. \$112,500
- D. \$114,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A delivery firm buys a van for \$50,000 with a \$5,000 salvage value and a five-year life. The van came from a dealer that has won customer-service awards. Using double-declining balance, what is depreciation in year 2?

- A. \$10,800
- B. \$12,000
- C. \$20,000
- D. \$9,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

Equipment cost \$60,000, and first-year double-declining-balance depreciation was \$24,000. What useful life was assumed?

- A. 40%
- B. 2.5 years
- C. 5 years
- D. 10 years

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A mining equipment plant has a carrying amount of \$900,000. Expected undiscounted future cash flows are \$850,000 and fair value is \$700,000. The plant's manager has been there since it opened in 2004. What impairment loss is recorded?

- A. \$200,000
- B. None, because future cash flows are positive.
- C. \$150,000
- D. \$50,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

An asset has a carrying amount of \$500,000, undiscounted future cash flows of \$520,000 and a fair value of \$430,000. What impairment loss is recorded?

- A. A \$20,000 gain.
- B. \$90,000
- C. \$70,000
- D. None; the asset is recoverable.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A biotech firm spent \$2,000,000 on internal research that led to a patent and paid \$50,000 in legal fees to register it. It also bought a competitor's patent for \$300,000. The lead scientist was featured in a national magazine. What amount is reported as patents?

- A. \$300,000
- B. \$2,350,000
- C. \$350,000
- D. \$2,050,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A food company is being sued over a product recall. Its attorneys, from a well-known national firm, say a loss is probable and will be between \$200,000 and \$500,000, with no amount in the range more likely than another. The company's stock fell 3% on the news. Under U.S. GAAP, what should it do?

- A. Disclose only; accrue nothing.
- B. Accrue \$500,000.
- C. Accrue \$350,000.
- D. Accrue \$200,000 and disclose the possible additional \$300,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

On January 1 a utility issues \$1,000,000 of five-year bonds with a 6% stated rate, paid annually, when the market rate is 8%. The bonds sell for \$920,146. The underwriter is one of the largest on Wall Street. Using the effective-interest method, what is interest expense for year 1?

- A. \$73,612
- B. \$80,000
- C. \$60,000
- D. \$55,209

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A company's bonds were issued at 103 (103% of face value). Which statement must be true at the issue date?

- A. The company will repay 103% of face at maturity.
- B. The market rate was higher than the stated rate.
- C. Interest expense will exceed cash interest each year.
- D. The stated rate was higher than the market rate.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A software company earned net income of \$1,200,000 and declared \$200,000 of preferred dividends. It had 400,000 common shares on January 1 and issued 100,000 more on July 1. Its share price rose 18% during the year. What is basic EPS?

- A.** \$2.50
- B.** \$2.22
- C.** \$2.67
- D.** \$2.00

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A company can receive \$10,000 at the end of each year for five years under a licensing deal signed at a trade show in Chicago. At a 6% discount rate, what is the present value of the payments?

- A.** \$44,651
- B.** \$42,124
- C.** \$56,371
- D.** \$50,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A firm borrows \$100,000 at 6% and will repay it in five equal payments at the end of each year. What is each payment?

- A.** \$421,236
- B.** \$20,000
- C.** \$23,740
- D.** \$26,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A bottling company buys a filling machine for \$100,000. It pays \$3,000 freight, \$5,000 installation and \$2,000 for test runs, then \$4,000 to train operators after the machine is running. ~~The seller offered a two-year warranty extension for \$2,500, which the company declined.~~ What cost should be capitalized?

Target word: capitalized cost **Decides:** Include costs to get it ready: price, freight, installation, testing.

A	Correct	\$100,000 + \$3,000 + \$5,000 + \$2,000.
B	Dropped element	Leaves out freight, installation and testing.
C	Camouflage	Adds a warranty the company never bought.
D	Adjacent category	Includes training, which is expensed as incurred.

2. Answer B Concept 2

A delivery firm buys a van for \$50,000 with a \$5,000 salvage value and a five-year life. The van came ~~from a dealer that has won customer service awards.~~ Using double-declining balance, what is depreciation in year 2?

Target word: year-2 DDB depreciation **Decides:** Rate 40% on beginning book value \$30,000.

A	Confusion set	Subtracts salvage first; DDB applies the rate to full book value.
B	Correct	Year 1: $\$50,000 \times 40\% = \$20,000$. Year 2: $\$30,000 \times 40\% = \$12,000$.
C	Wrong stem number	That is year-1 depreciation.
D	Adjacent category	Straight-line: $\$45,000 / 5$.

3. Answer C Concept 2 · transfer

Equipment cost \$60,000, and first-year double-declining-balance depreciation was \$24,000. What useful life was assumed?

Target word: solve for useful life **Decides:** Rate = $\$24,000 / \$60,000 = 40\% = 2 \div \text{life}$.

A	Adjacent category	That is the rate, not the life.
B	Dropped element	Treats 40% as the straight-line rate, forgetting the doubling.
C	Correct	$2 / 0.40 = 5$.
D	Inverted operation	Doubles the life instead of halving it.

4. Answer A Concept 3

A mining equipment plant has a carrying amount of \$900,000. Expected undiscounted future cash flows are \$850,000 and fair value is \$700,000. ~~The plant's manager has been there since it opened in 2004.~~ What impairment loss is recorded?

Target word: impairment loss **Decides:** Fails recoverability ($\$850K < \$900K$); loss = $\$900K - \$700K$.

A	Correct	Impaired, and the loss is carrying amount minus fair value.
B	Absolute language	Cash flows must exceed carrying amount, not just be positive.
C	Wrong stem number	Compares the two future-value figures instead of carrying amount.
D	Confusion set	Uses undiscounted cash flows to measure the loss; they only test for impairment.

5. Answer D Concept 3 · transfer

An asset has a carrying amount of \$500,000, undiscounted future cash flows of \$520,000 and a fair value of \$430,000. What impairment loss is recorded?

Target word: reverse: apply the recoverability gate **Decides:** Undiscounted cash flows exceed carrying amount — passes step 1.

A	Inverted operation	Impairment testing never records gains on assets held for use.
B	Wrong stem number	Subtracts fair value from cash flows.
C	Dropped element	Skips the recoverability test and goes straight to fair value.
D	Correct	Because \$520,000 > \$500,000, no impairment is recognized.

6. Answer C Concept 4

A biotech firm spent \$2,000,000 on internal research that led to a patent and paid \$50,000 in legal fees to register it. It also bought a competitor's patent for \$300,000. ~~The lead scientist was featured in a national magazine.~~ What amount is reported as patents?

Target word: capitalized intangibles **Decides:** Internal R&D is expensed; registration fees and purchased patents are capitalized.

A	Dropped element	Leaves out the legal fees to secure the internal patent.
B	Adjacent category	Capitalizes internal R&D, which must be expensed.
C	Correct	\$50,000 legal fees + \$300,000 purchased patent.
D	Inverted operation	Capitalizes the internal costs and expenses the purchased patent — backward.

7. Answer D Concept 5

A food company is being sued over a product recall. Its attorneys, ~~from a well-known national firm,~~ say a loss is probable and will be between \$200,000 and \$500,000, with no amount in the range more likely than another. ~~The company's stock fell 3% on the news.~~ Under U.S. GAAP, what should it do?

Target word: accrual amount **Decides:** Probable and estimable, no best estimate: accrue the minimum.

A	Dropped element	Disclosure alone is for reasonably possible losses; this one is probable.
B	Inverted operation	Uses the high end instead of the low end.
C	Confusion set	The midpoint is the IFRS approach, not U.S. GAAP.
D	Correct	U.S. GAAP uses the low end of the range when no amount is better.

8. Answer A Concept 6

On January 1 a utility issues \$1,000,000 of five-year bonds with a 6% stated rate, paid annually, when the market rate is 8%. The bonds sell for \$920,146. ~~The underwriter is one of the largest on Wall Street.~~ Using the effective-interest method, what is interest expense for year 1?

Target word: year-1 interest expense **Decides:** Carrying amount × market rate.

A	Correct	\$920,146 × 8% = \$73,612; the \$13,612 above cash paid amortizes the discount.
B	Adjacent category	Applies the market rate to face value instead of carrying amount.
C	Confusion set	That is cash interest (face × stated rate), not expense.
D	Inverted operation	Applies the stated rate to the carrying amount — the rates are swapped.

9. Answer D Concept 6 · transfer

A company's bonds were issued at 103 (103% of face value). Which statement must be true at the issue date?

Target word: reverse: infer the rate relationship **Decides:** A premium means the stated rate beat the market rate.

A	Adjacent category	Bonds repay face value; the premium is amortized away.
B	Inverted operation	That produces a discount.
C	Confusion set	True for discounts; with a premium, expense is below cash paid.
D	Correct	Investors pay a premium for above-market coupons.

10. Answer B Concept 7

A software company earned net income of \$1,200,000 and declared \$200,000 of preferred dividends. It had 400,000 common shares on January 1 and issued 100,000 more on July 1. ~~Its share price rose 18% during the year.~~ What is basic EPS?

Target word: basic EPS **Decides:** $(\$1.2M - \$0.2M) \div$ weighted 450,000 shares.

A	Wrong stem number	Uses the 400,000 beginning shares only.
B	Correct	$\$1,000,000 / (400,000 + 100,000 \times 6/12) = \2.22 .
C	Dropped element	Leaves preferred dividends in the numerator.
D	Adjacent category	Uses 500,000 year-end shares instead of the weighted average.

11. Answer B Concept 8

A company can receive \$10,000 at the end of each year for five years under a licensing deal ~~signed at a trade show in Chicago.~~ At a 6% discount rate, what is the present value of the payments?

Target word: PV of an ordinary annuity **Decides:** $\$10,000 \times$ PV annuity factor (6%, 5) = 4.2124.

A	Adjacent category	Annuity due; these payments are at year-end.
B	Correct	$\$10,000 \times 4.2124 = \$42,124$.
C	Confusion set	Uses the future-value annuity factor.
D	Dropped element	Ignores discounting.

12. Answer C Concept 8 · transfer

A firm borrows \$100,000 at 6% and will repay it in five equal payments at the end of each year. What is each payment?

Target word: solve for the payment **Decides:** $\$100,000 \div 4.2124$.

A	Inverted operation	Multiplies by the factor instead of dividing.
B	Dropped element	Ignores interest.
C	Correct	$\$100,000 / 4.2124 \approx \$23,740$.
D	Adjacent category	Adds simple interest on the full balance each year; interest falls as principal is repaid.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	8	
Wrong stem number	A figure copied from the prompt that is not the answer.	4	
Adjacent category	The right idea in the wrong bucket.	9	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	7	
Absolute language	Always, never, guarantee — where judgment applies.	1	
Confusion set	Every option is real; the test is exact role-matching.	6	
Camouflage	Answers a stem fact that was never the question.	1	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Capitalizing the cost of property, plant and equipment	Capitalize all costs needed to acquire the asset and get it ready for use (price, freight, installation, testing); expense costs after it is in service, such as training and routine repairs.	Capitalizing operator training or leaving freight and installation out of cost.	A purchase price plus a list of related costs.
2	Double-declining-balance depreciation	DDB rate = $2 \div$ useful life, applied to beginning book value (cost minus accumulated depreciation), ignoring salvage until book value would fall below it.	Subtracting salvage value before applying the DDB rate.	"Double-declining" with cost, salvage and life.
3	Impairment of long-lived assets held for use	Step 1: impaired only if undiscounted future cash flows < carrying amount. Step 2: loss = carrying amount – fair value.	Measuring the loss against undiscounted cash flows, or skipping the recoverability test.	Carrying amount, undiscounted cash flows and fair value all given.
4	Intangible assets and R&D	Purchased intangibles and the legal costs to secure them are capitalized; internal research and development is expensed; goodwill is not amortized but is tested for impairment.	Capitalizing internal R&D spending that led to a patent.	Internal development costs versus amounts paid to outsiders for a patent or registration.
5	Loss contingencies	Accrue when a loss is probable and reasonably estimable (use the best estimate, or the low end of a range if none is better); disclose if reasonably possible; ignore if remote.	Accruing the high end or the midpoint of the range under U.S. GAAP.	Attorney's likelihood assessment plus a dollar range.
6	Bonds at a discount or premium	If the market rate exceeds the stated rate, bonds sell at a discount; interest expense under the effective-interest method = carrying amount $\times$ market rate, and cash paid = face $\times$ stated rate.	Using the stated rate or face value to compute interest expense.	Stated rate and market rate differ; issue price given.
7	Basic earnings per share	Basic EPS = (net income – preferred dividends) $\div$ weighted-average common shares outstanding.	Using year-end shares or forgetting preferred dividends.	Shares issued mid-year and preferred stock outstanding.
8	Time value of money	PV of an ordinary annuity = payment $\times$ annuity factor; a payment to repay a loan = loan $\div$ PV annuity factor. Annuities due are worth more because each payment is one period earlier.	Summing undiscounted payments or using a future-value factor for a present value.	Equal periodic payments, a rate and a number of periods.

Course scope (public description): Intermediate Accounting II is the second of three in-depth financial accounting courses for accounting majors. The course focuses on acquisition and disposition of noncurrent assets;

depreciation, impairments, and depletion; intangible assets; current liabilities and contingencies; long-term obligations; stockholders' equity; dilutive securities; and time value of money concepts. The prerequisite to this course is Intermediate Accounting I.